

Chapter 11: Basic Elements of Organizing

1. What is Organizing and Organization Structure?

- **Organizing:** means setting up activities and resources in a structured way so that work gets done properly and goals are achieved.
 - **Organization Structure:** The set of building blocks used to configure an organization.
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2. What is Job Design?

- **Job Design:** means deciding what tasks and duties a person will be responsible for in their job
 - Job Design:
 - The determination of an individual's work-related responsibilities.
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3. What is Job Specialization (Division of Labor)?

Job Specialization (Division of Labor)



The degree to which the overall task of the organization is broken down and divided into smaller component parts.

- Benefits of Specialization
 - Workers can become proficient at a task.
 - Transfer time between tasks is decreased.
 - Specialized equipment can be more easily developed.
 - Employee replacement becomes easier.
- Limitations of Specialization

- Employee boredom(একঘেয়েমি)
- Dissatisfaction with domestics(সাংসারিক) tasks.
- Anticipated/expected benefits do not always occur.

4. What is Adam Smith's Example of Job Specialization?

- Without specialization: 20 workers → 400 pins/day (20 pins each).
- With specialization: 20 workers → 100,000 pins/day (5,000 pins each).

Adam Smith's Example of Job Specialization

Making a pin (nail) requires 18 tasks

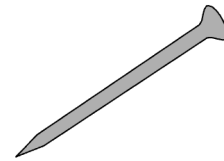
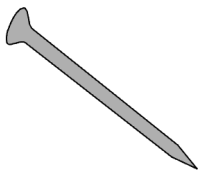
1 worker doing all 18 tasks might make
20 pins (nails) a day.

20 workers = $(20 \times 20) = 400$ pins

With specialization:

20 workers make 100,000 pins a day.
1 worker = 5,000 pins

20 pins vs. 5,000 pins per worker



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5. What are Alternatives to Specialization?

- **Job Rotation:**
 - Moving employees from one job to another. in an attempt to reduce employee boredom
- **Job Enlargement:**
 - Increasing the number of tasks an employee performs.

- **Job Enrichment:**
 - Increasing both tasks and control over the job.
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6. What is the Job Characteristics Approach?

Focuses on five core job dimensions:

- **Skill variety**
 - the number of tasks a person does in a job.
 - **Task identity**
 - Identifiable portion of the total job.
 - **Task significance**
 - the perceived(অনুভূত) importance of the task.
 - **Autonomy**
 - the degree of control the worker has over how the work is performed.
 - **Feedback**
 - the extent to which the worker knows how well the job is being performed.
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7. What are Work Teams?

- Groups that design their own work system for completing tasks.
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8. What is Departmentalization?

- **Departmentalization:** The process of grouping jobs according to some logical arrangement.
 - Rationale for Departmentalization
 - Organizational growth exceeds the owner-manager's capacity to personally supervise all of the organization.
 - Additional managers are employed and assigned specific employees to supervise.
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9. What are Common Bases for Departmentalization?

- **Functional Departmentalization**
 - **Is the grouping of jobs involving the same or similar activities.**
- **Product Departmentalization**
 - **The grouping of activities around products or product groups.**
- **Customer Departmentalization**
 - **Grouping activities to respond to and interact with specific customers and customer groups.**
- **Location Departmentalization**
 - **The grouping of jobs on the basis of defined geographic sites or areas.**

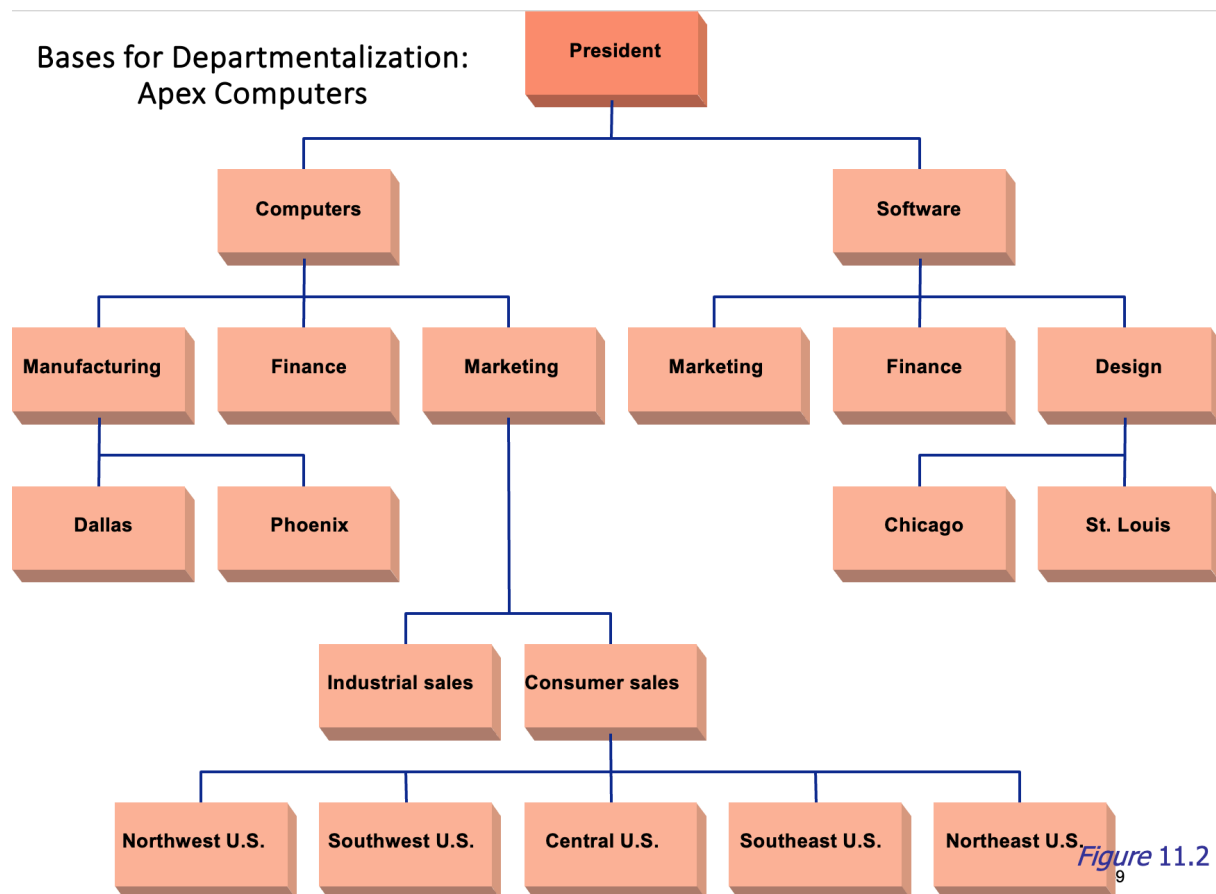


Figure 11.2

10. What is Chain of Command?

- A clear, distinct line of authority from top to bottom in the organization.

11. What is Unity of Command and Scalar Principle?

- **Unity of Command:**
 - Each person within an organization must have a clear reporting relationship to one and only one boss.
 - **Scalar Principle:**
 - A clear and unbroken line of authority must extend from the bottom to the top of the organization.
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12. What is Span of Management (Span of Control)?

- The number of people who report to a particular manager.
 - Sometimes called the *span of control*.
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13. What Factors Influence Span of Management?

Factors include:

This image shows the key factors that influence span of management:

1. Supervisor and subordinate competence - wider span possible with greater competence
2. Physical dispersion - more dispersed subordinates require narrower span
3. Nonsupervisory work extent - more nonsupervisory work leads to narrower span
4. Required interaction - less interaction needed allows wider span
5. Standardized procedures - more procedures enable wider span
6. Task similarity - more similar tasks allow wider span
7. Frequency of new problems - more new problems require narrower span
8. Preferences of supervisors and subordinates

- 1. Competence of supervisor and subordinates (the greater the competence, the wider the potential span).**
- 2. Physical dispersion of subordinates (the greater the dispersion, the narrower the potential span).**
- 3. Extent of nonsupervisory work in a manager's job (the more nonsupervisory work, the narrower the potential span).**
- 4. Degree of required interaction (the less required interaction, the wider the potential span).**
- 5. Extent of standardized procedures (the more procedures, the wider the potential span).**
- 6. Similarity of tasks being supervised (the more similar the tasks, the wider the potential span).**
- 7. Frequency of new problems (the higher the frequency, the narrower the potential span).**
- 8. Preferences of supervisors and subordinates.**

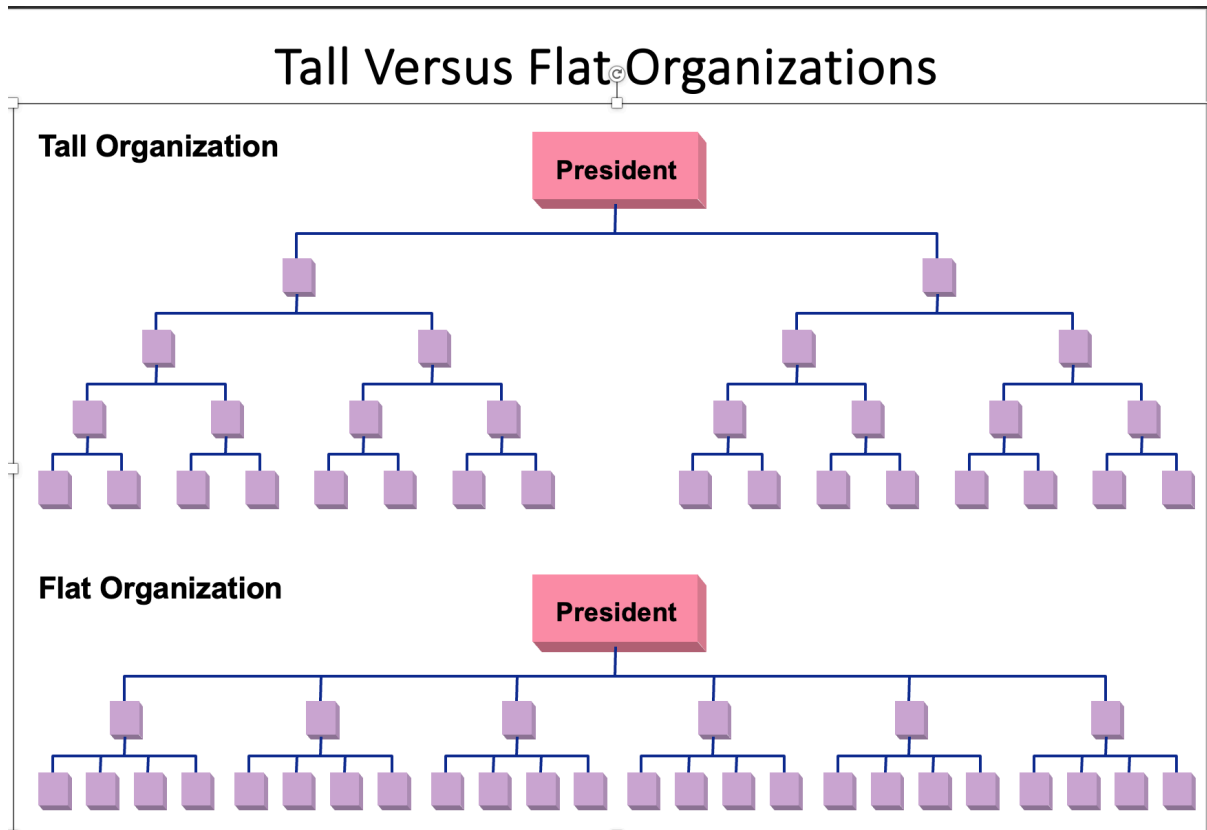
Table 11.1
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- Supervisor and subordinate competence.
- Physical dispersion.
- Nonsupervisory work extent.
- Required interaction.
- Standardized procedures.
- Similarity of tasks.
- Frequency of new problems.
- Supervisor/subordinate preferences.

14. What are Tall and Flat Organizations?

- Tall Organizations
 - Are more expensive because of the number of managers involved.
 - Foster more communication problems because of the number of people through whom information must pass.
- Flat Organizations
 - Lead to higher levels of employee morale and productivity.

- Create more administrative responsibility for the relatively few managers.
- Create more supervisory responsibility for managers due to wider spans of control.



- **Tall Organization:**
 - More managerial levels.
 - Higher costs.
 - More communication problems.
- **Flat Organization:**
 - Fewer managerial levels.
 - Higher employee morale.
 - More responsibility for managers.

15. What is Authority and Delegation?

- **Authority:** Power that has been legitimized by the organization.

- **Delegation:** The process by which managers assign a portion of their total workload to others.

16. What are the Steps and reason of Delegation?

Steps:

1. Assign responsibility.
2. Grant authority.
3. Create accountability.

Steps in the Delegation Process

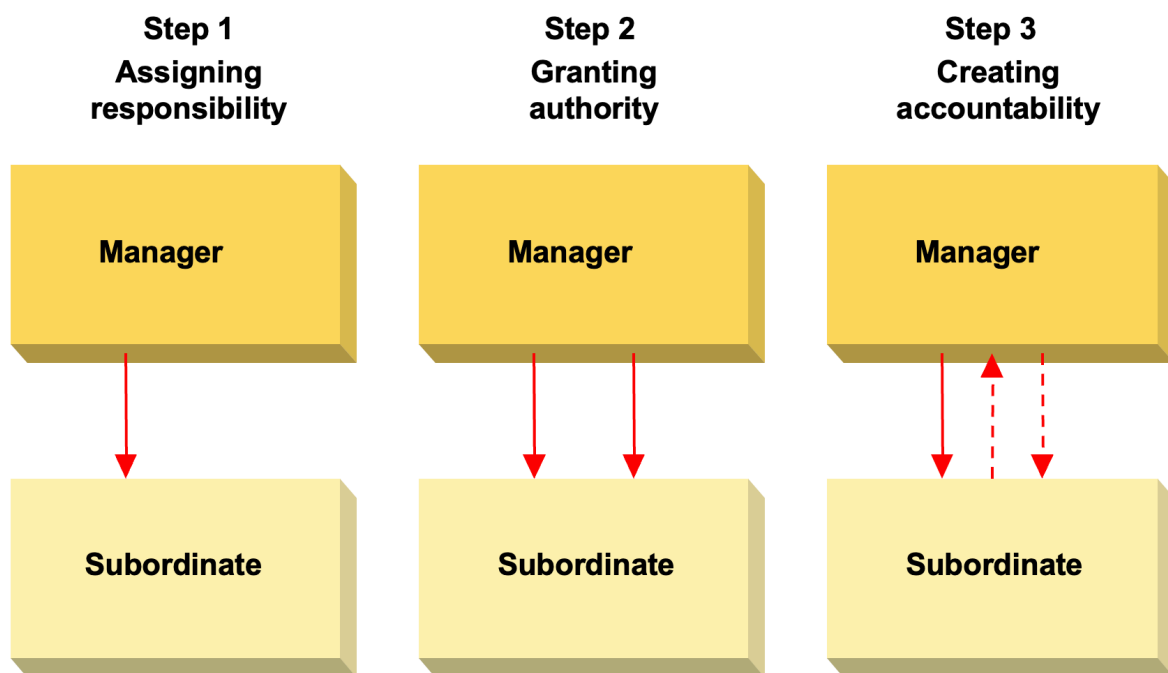


Figure 11.4
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- Reasons for Delegation
 - To enable the manager to get more work done by utilizing the skills and talents of subordinates.
 - To foster the development of subordinates by having them participate in decision making and problem solving that allows them to learn about

overall operations and improve their managerial skills.

17. What are Common Problems in Delegation?

- **Manager's Side:**
 - Reluctance(অনিচ্ছা) to delegate.
 - Disorganization.
 - Fear of subordinates' success.
 - Lack of trust.
 - **Subordinate's Side:**
 - Fear of failure.
 - No reward for extra work.
 - Risk avoidance.
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18. What is Centralization vs. Decentralization?

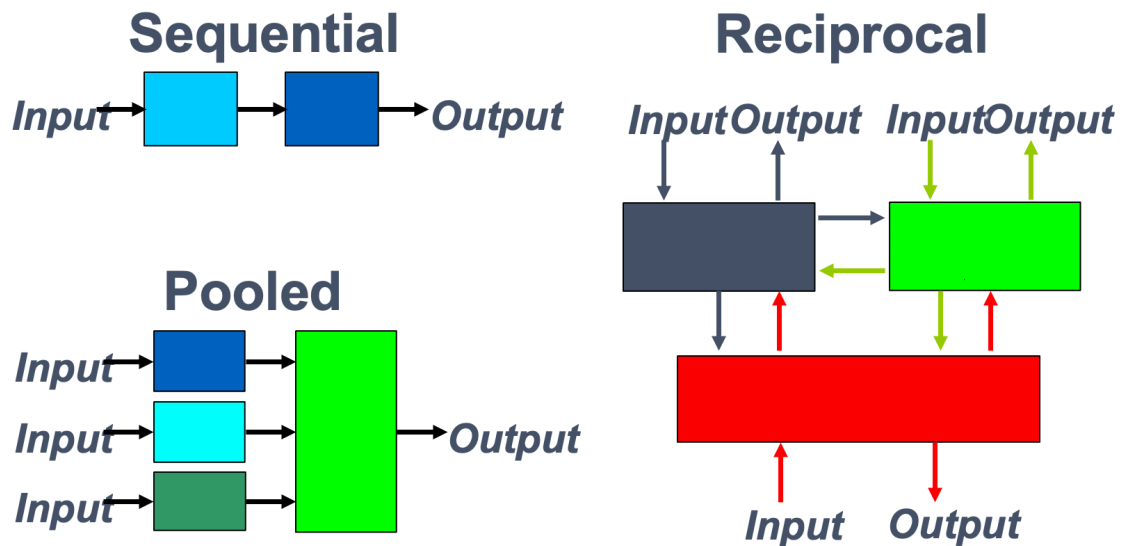
- **Decentralization**
 - The process of systematically delegating power and authority throughout the organization to middle- and lower-level managers.
 - **Centralization**
 - The process of systematically retaining power and authority in the hands of higher-level managers.
 - **Factors Determining the Choice of Centralization**
 - The complexity and uncertainty of the external environment.
 - The history of the organization.
 - The nature (cost and risk) of the decisions to be made.
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19. What is Coordination?

- **Coordination:** The process of linking the activities of the various departments of the organization.
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20. What are the Three Major Forms of Interdependence?

Three Major Forms of Interdependence



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- Pooled interdependence
 - Units operate independently but their outputs are combined.
- Sequential interdependence
 - When the output of one unit becomes the input of another unit in sequential fashion.
- Reciprocal interdependence
 - When activities flow both ways between units.

21. What are Line and Staff Positions?

- Line Positions



- Positions in the direct chain of command that are responsible for the achievement of an organization's goals.

- Direct responsibility for achieving goals.
- Have formal (legitimate) authority to direct the workforce.
- Staff Positions



- Provide advice and support to line positions

- Have advisory authority; can give compulsory advice.
- Have functional authority to enforce compliance with organizational policies and procedures.

22. What is Administrative Intensity?

- The degree to which managerial positions are concentrated in staff positions.
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